

For immediate release

MTN Rwanda announces strong Mobile Money, Enterprise and Home broadband momentum in Quarter Three of 2024.

MTN Rwandacell Plc (MTN Rwanda) is pleased to announce its unaudited financial results for the nine months ended 30 September 2024, reporting stable revenues and sustained subscriber growth despite a challenging operating environment.

During this period, MTN Rwanda's mobile subscriber base increased by 5.3% year-on-year, reaching 7.6 million, with an addition of 382,000 subscribers, demonstrating the continued demand for our services in the market. Active Mobile Money (MoMo) subscribers grew by an impressive 13.4% year-on-year (YoY) to 5.2 million. In contrast, Active data subscribers declined by 10.3% (YoY) to 2.3 million.

Service revenue rose by 1.6% to Rwf 189.3 billion, supported by strong growth in the Mobile Money and Enterprise segments. This growth partially offset declines in voice revenue, which dropped by 21.4% due to the impact of the Zero Mobile Termination Rate (MTR) regulation, whilst Data revenue saw a 1.9% decrease. Excluding the impact of Zero Mobile Termination Rates (MTR), the adjusted service revenue growth would be 7.3% YoY.

Mobile Money Rwanda delivered solid results with a 29.4% increase in MoMo revenues, driven by the increased adoption of advanced services and a 58.3% increase in the active merchant base to 451k, showcasing the strong adoption and usage of MoMo payment services. Furthermore, customer value management initiatives and an increase in the overall subscriber base penetration to 68.6%, contributed to the deepening of the fintech ecosystem across Rwanda.

The Enterprise Business segment recorded strong results, with a 37.5% growth in service revenues YoY driven by stable growth in subscribers and strong contributions from mobile and fixed data services. Home broadband subscriptions saw remarkable growth, increasing by 25.3% YoY, delivering a 43.4% rise in home broadband revenue. This surge reflects MTN Rwanda's commitment to expanding fixed broadband connectivity, a vital component of MTN Rwanda's strategy to drive access to digital services across the nation. With these advancements, MTN Rwanda continues to bring reliable, high-speed internet access to more households and businesses, supporting the digitization of Rwanda's economy and society and enhancing connectivity for both individual and business needs.

MTN Rwanda's earnings before interest, tax, depreciation, and amortization (EBITDA) decreased by 22.5% to Rwf 65.7 billion, resulting in an EBITDA margin of 34.0%. This was impacted by factors such as the introduction of zero MTR, increased interconnect costs related to permanent roamers in the ONA (One Network Area) region and the local currency's depreciation against the dollar. Consequently, Profit after tax declined by 232.4% to Rwf -10.9 billion, driven by the lower EBITDA and increased depreciation and amortization costs.

“Our financial performance for the nine months reflects a sustained focus and execution of our strategic priorities towards the delivery of our ambition 2025 strategy. Quarter three's performance, in particular, demonstrates MTN Rwanda's resilience and marks a turning point towards our return to growth and profitability, through commercial execution and operational efficiencies.

Our key growth drivers remain the mobile money and enterprise segments, supported by solid growth in our customer base, increased adoption of the mobile money payments ecosystem, and the expansion and modernization of the network. However, the impact of zero MTR, ONA interconnect costs and local currency depreciation continue to put pressure on our margins and

profitability, underpinning the -10.9 percentage points (pp) YoY drop in reported EBITDA to 34.0%. Excluding these effects, the normalized EBITDA margin would have been 41.0%, a slight drop of 3.9 pp.

We maintain a our strong focus on accelerating our commercial execution to grow service revenue, driving operational efficiencies to improve our earnings profile, and strengthening our balance sheet. As we move into the final quarter, we anticipate a stable outlook with sustained subscriber and revenue growth as we continue to drive digital and financial inclusion in Rwanda, while providing value to our stakeholders,” highlighted **Dunstan Stober, Acting Chief Financial Officer.**

MTN Rwanda reported capital expenditure of Rwf 34.8 billion, an 18.9% year-on-year (YoY) decrease, as we slowed down capex investments in Q3, following the accelerated capex deployment in H1, which included our network modernization program. Notably, network modernization in Kigali was completed during this period, making the network more intelligent, connected, and agile. Across Rwanda, the network modernization program aims to deliver an enhanced digital experience for MTN customers.

“Despite the headwinds to our business, MTN Rwanda has demonstrated resilience and a continued commitment to deliver best in class connectivity and access to digital services across Rwanda, which is reflected in our strong subscriber growth. Our strategic focus on financial inclusion, supported by strategic alignment to government initiatives is driving meaningful impact for our customers and the Rwandan economy. We're proud of the progress we've made in expanding connectivity and the modernization of our network, which will enable new digital technologies and deliver a superior customer experience. As we look ahead, we remain committed to accelerating Rwanda's digital journey and expanding our fintech offerings to foster financial inclusion nationwide, underpinned by improved margins to ensure sustainable growth and returns for our shareholders,” stated **MTN Rwanda Chief Executive Officer, Mapula Bodibe.**

As part of MTN Rwanda's commitment to creating shared value, the company made its annual contribution to Imbuto Foundations 'Edified Generation Program', through which it supports 100 students from underprivileged backgrounds by covering their annual school fees. Still in the space of Education, MTN Rwanda pledged RWF 30,000,000 to feed 10,000 students for the 2024-2025 school year, through the Ministry of Education's impactful #DusangireLunch campaign, in partnership with our subsidiary, Mobile Money, which is aimed at raising awareness of the impact a nutritional meal at school has on school enrolment, retention and performance.

MTN Rwanda also recently celebrated the graduation of ten young professionals, as a part of the MTN Group Global Graduate Program, where they gained essential skills, demonstrating MTN Rwanda's contribution to the development of the Rwandan labor market by building a workforce equipped for the digital economy. Additionally, MTN Rwanda hosted the MTN Iwacu Muzika Festival across eight districts, bringing together local artists and uniting Rwandans through cultural celebration, supporting both national pride and the growth of Rwanda's creative industry.

Looking ahead, MTN Rwanda will continue implementing appropriate interventions to accelerate our service revenue growth and unlocking operational efficiencies, as well as strengthening our balance sheet to improve the profitability of our business, whilst we anticipate a positive outcome from the regulatory study on zero MTR. We will continue to pursue initiatives to improve our financial performance as well as to deliver leading digital solutions to drive Rwanda's progress, while creating long-term value for our shareholders.

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**Together, our growth is inevitable
because we never settle for less.**

